

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 22-34

SEAFAIR USA LLC

VS.

**STERLING CONTAINER LINE LIMITED AND
ATLANTIC FORWARDING LTD.**

RESPONDENTS' PETITION FOR ATTORNEY FEES

On April 15, 2024, the Presiding Administrative Law Judge entered an Initial Decision in this proceeding (Doc. No. 39) dismissing and denying the Complaint of Complainant SeaFair USA LLC (“SeaFair” or “Complainant”) on the grounds that SeaFair failed to establish the alleged violations of the Shipping Act against Respondents Sterling Container Line Limited (“Sterling”) and Atlantic Forwarding Ltd. (“Atlantic,” and together with Sterling, the “Respondents”). The Initial Decision subsequently became administratively final upon the issuance of a Notice Not To Review by the Federal Maritime Commission (“FMC” or the “Commission”) on May 16, 2024. (Doc. No. 40).

The successful party in a private party complaint proceeding under 46 U.S.C. § 41301(a) may petition for an award of attorney fees after the decision becomes administratively final. (46 U.S.C. § 41305(e); Statement of Commission On *Attorney Fees*, Commission Docket No. 21-14 (FMC 2021)). The Initial Decision now being final, pursuant to 46 CFR § 502.254 and 46 U.S.C. § 41305(e), Respondents timely file this Petition seeking reasonable attorney fees as the prevailing parties in this proceeding.

I. Petition Summary Background

This Petition is being brought because SeaFair forced multiple Respondents to expend significant time and money in the defense of objectively unreasonable and frivolous claims, and failed to terminate its claims when it could have limited the expense of the Respondents (and SeaFair itself) despite ample opportunity to withdraw those claims. SeaFair's mischaracterization of its damages and requested relief, dating back to the surety bond claims it filed against Sterling in 2022, to the filing of its formal FMC Complaint against the Respondents in December 2022, and up through the constantly evolving characterization of its allegations in the Opening Brief and Reply Brief, resulted in significant attorney fees for the Respondents that warrant reimbursement under Commission guidelines, rules, and precedent.

From the initiation of this proceeding, SeaFair sought to improperly couch a common law contract dispute in the vein of vague Shipping Act violation allegations against the Respondents. Numerous issues throughout this case weigh in favor of entitlement by the Respondents to their legal fees, including but not limited to the following:

- (i) SeaFair falsely (or negligently) described the nature of its purported damages at issue, including in a surety bond claim filed under FMC regulations and in its formal FMC Complaint;
- (ii) SeaFair failed to cite any FMC precedent in its briefings with respect to its frivolous claims regarding the purported violative activities Respondents were alleged to have engaged in, despite the Presiding Officer's Order noting that the parties should cite Commission case law supporting their legal arguments;
- (iii) SeaFair produced voluminous billing records involving various non-parties in the hope that the Presiding Officer would take on the role of a forensic accountant to

determine SeaFair's purported damages, including conflicting calculations and unsubstantiated evolving totals alleged as due and owing by the Respondents;

- (iv) SeaFair sought to amend its Complaint *after* the close of discovery and ten days before its Opening Brief was due, despite the fact that all circumstances and information associated with the proposed amendment was available to SeaFair at the time it filed its original Complaint, resulting in a three week extension of SeaFair's Opening Brief deadline – which nonetheless generally incorporated the amendments that the Presiding Officer initially denied as improper;
- (v) SeaFair improperly supplemented its Opening Brief with substantial new alleged evidence and theories, and proceeded to similarly do so in its Reply Brief, with voluminous appendices requiring extensive review time despite the fact that such materials were barely incorporated into its legal arguments and/or had no reasonable bearing on its original Shipping Act allegations against the Respondents; and
- (vi) SeaFair had ample opportunity to mediate or withdraw its claims and work to a resolution with Respondents for a significant period of time in light of the Presiding Officer's express directions to review and address Commission requirements for reparations, damages, and the types of relief available in a case before the Commission.

Respondents recognize the high bar associated with petitions for attorney fees under Commission rules and precedent, however, SeaFair's total lack of factual clarity and legal support for the objectively unreasonable allegations made by SeaFair for nearly a year warrant an award of attorney fees here, including by serving a critical deterrence function in furtherance of the

purposes of the Shipping Act. Such an award would not be detrimental or have a chilling impact on complainants raising potential violations of the Shipping Act, but instead would reinforce the premise that Commission proceedings are to be taken seriously and diligently, and that unsubstantiated filings, baseless mischaracterizations of facts, and blind hope that the FMC will issue orders outside of its statutory purview are an inappropriate use of Commission resources.

II. Legal Argument

Respondents will show that this Petition for attorney fees is warranted under Commission rules and precedent, including by showing that the Petition is timely, that the Respondents are eligible for an award of attorney fees, and that the Respondents are entitled to attorney fees. Respondents as the fee applicant bear the burden of establishing entitlement to an award of attorney fees, as well as documenting the appropriate hours expended and hourly rates. *Hensley v. Eckerhart*, 461 U.S. 424, 437 (1983); 46 C.F.R. § 502.254(d). In support of this Petition, Respondents submit the Declaration of Ashley K. Kelley, together with related exhibits detailing the invoices, billing statements, and reasonable hourly rates charged by the billing attorney timekeepers associated with this proceeding. Respondents assert that an award of attorney fees, in whole or in part, is clearly both justified and consistent with the purposes of the Shipping Act and the key factors weighed by the Commission in such cases.

A. Timing and Eligibility

Pursuant to 46 CFR § 502.254, in order to recover attorney fees, the prevailing party must file a petition within 30 days after a decision becomes final. The Initial Decision was entered in this proceeding on April 15, 2024, denying the Complaint of SeaFair, dismissing all pending motions and requests as moot, and ordering that the proceeding be discontinued. (Initial Decision at p. 19-20). No exception or appeal was filed by the Complainant, and on May 16, 2024, the

FMC issued a Notice Not To Review, and the Initial Decision therefore became administratively final for the purposes of 46 CFR § 502.254. Accordingly, this Petition dated June 14, 2024 is timely pursuant to 46 CFR § 502.254.

Respondents Sterling and Atlantic are the prevailing parties in this proceeding, and therefore are eligible to submit this Petition. A respondent is generally a prevailing party when the presiding officer rebuffs a complainant's claims. (Statement of Commission On *Attorney Fees*, Commission Docket No. 21-14 (FMC 2021) at p. 3, citing *Baltic Auto Shipping, Inc. v. Michael Hitrino*, 2017 WL 4924883, at *9 (FMC Oct. 25, 2017)). "A [respondent] prevails 'whenever the plaintiff's challenge is rebuffed, irrespective of the precise reason for the court's decision.'" *The Highland Consulting Grp. V. Soule*, 19-CV-81636-RLR/BER (Feb. 8, 2024) (rec. of Mag.), citing *CRST Van Expedited, Inc. v. E.E.O.C.*, 578 U.S. 419, 431, 136 S. Ct. 1642, 1651 (2016).

In the Initial Decision, the Presiding Officer found that SeaFair failed to establish any violations of the Shipping Act by either of the Respondents, including under 46 U.S.C. § 41102(a), § 41104(a)(2)(A), § 41104(a)(4)(A), and § 41102(c), and therefore denied SeaFair's Complaint, dismissed all pending motions and requests as moot, and ordered that the proceeding be discontinued. As the prevailing parties in this case, Respondents are eligible for attorney fees pursuant to 46 U.S.C. § 41305(e) and 46 CFR § 502.254.

B. Entitlement to Attorney Fees

Under relevant FMC rules, precedent, and guidance, including the Statement of Commission On Attorney Fees (the "FMC Guidelines"), the primary consideration in determining entitlement to attorney fees is whether such an award is consistent with the purposes of the Shipping Act. (Commission Docket No. 21-14 (FMC 2021), p. 3, citing 81 Fed. Reg. at 10515). The FMC further considers three general principles in considering entitlement to legal fees,

including (i) there is no presumption for or against awarding attorney fees, (ii) parties should be encouraged to litigate meritorious claims and defenses, and (iii) attorney fee liability should not be imposed in a way that would chill the filing of credible claims and defenses. (*Id.*).

Finally, the FMC considers several, nonexclusive factors when addressing attorney fees, including frivolousness, motivation, objective unreasonableness (both in the factual and in the legal components of the case) and the need in particular circumstances to advance considerations of compensation and deterrence. (*Id.* at p. 4, *see also Edaf Antillas, Inc. v. Crowley Caribbean Logistics, Inc.*, Docket No. 14-04, 2016 WL 5110081 (F.M.C. Sept. 14, 2016) (“*Edaf*”).

Respondents acknowledge that simply because a claim was unsuccessful does not necessarily mean it was objectively unreasonable or frivolous. However, SeaFair’s actions and allegations in this case lack merit and clearly evidence a steady pattern of being objectively unreasonable and frivolous to the extent that an award of attorney fees will serve a critical deterrence function, consistent with the purposes of the Shipping Act.

i. SeaFair’s Consistent Mischaracterization of Purported Damages Was Objectively Unreasonable and Frivolous

Between August 3, 2022 and June 27, 2023, SeaFair misrepresented its central contention regarding the purported damages alleged to be due and owing by the Respondents under FMC regulations, knowing such allegations were false. On August 3, 2022, prior to the initiation of this proceeding, SeaFair issued a demand letter to the Respondents, falsely asserting that Respondents were liable for \$321,533.52 to SeaFair in “destination charges” that “were paid by SeaFair on behalf of Atlantic Forwarding and/or Sterling,” and stating that SeaFair was “contractually entitled to reimbursement.” (*See* Initial Decision (Doc. No. 39), Findings of Fact No. 27 at p. 7). On October 14, 2022, SeaFair then filed a surety bond claim with Sterling’s bond holder, USFIC, pursuant to FMC regulations at 46 C.F.R. § 515.23(b), which included a claim for \$321,533.52 in

“destination charges” “paid by SeaFair on behalf of Atlantic Forwarding and/or Sterling.” (*Id.* at p. 8, Findings of Fact No. 30; *see also* Complainant’s Appendix 8 at SFOB-APP-08-0002). SeaFair then initiated this formal proceeding in December 2022, and pled in its Verified Complaint that SeaFair paid \$321,533.52 in “out of pocket destination charges on behalf of Respondents.” (Doc. No. 1, Complaint at ¶ 15). Michael Baum, SeaFair’s Compliance Manager, declared in his verification of the Complaint under penalty of perjury that this assertion was true and correct, and that the facts set forth in the Complaint without qualification were true.

It was not until June 27, 2023, after the close of discovery in this proceeding and a mere ten days prior to the deadline for SeaFair’s Opening Brief, that SeaFair sought to amend its Complaint to correct this blatant falsehood. (Doc. No. 21). As the Presiding Officer stated in the Order on Motion to Amend the Complaint in denying SeaFair’s requested Motion, SeaFair did not explain why the motion to amend was not filed sooner, as it appeared that many of the proposed changes are, or should have been, within SeaFair’s knowledge when the complaint was filed. (Doc. No. 23, p. 2).

The Presiding Officer’s contention was then further underscored when SeaFair filed its Opening Brief on July 28, 2023, where SeaFair omitted, abandoned, and amended its entire theory of damages that formed the crux of its allegations dating back to its August 2022 demand letter – and for the first time, characterized its purported damages as \$294,283.88 in unpaid destination charges that SeaFair had been invoiced by non-party Mediterranean Shipping Company. (Doc. No. 24, Proposed Finding of Fact ¶ 17-18). SeaFair included as Appendix 10 to its Opening Brief 2,861 pages of invoice documentation from non-party Mediterranean Shipping Company (USA) Inc. as agent for MSC Mediterranean Shipping Company S.A., Geneva (collectively, “MSC”) that

dated from approximately August 2021 to February 2022. Again, MSC was never a party to this case.

SeaFair's blatant mischaracterization of the facts underlying its claims, including in its FMC surety claim against the Respondents in October 2022 and in its Complaint in this proceeding, was objectively unreasonable. Under the FMC Guidelines, objectively unreasonable claims or defenses are those that are clearly without merit or "patently devoid" of a legal or factual basis. (Commission Docket No. 21-14 (FMC 2021), p. 4). There is a vast difference between SeaFair falsely asserting it in fact paid out of pocket \$321,533.52 to non-party MSC *on behalf of* Respondents, and 6 months later asserting that no such payments had been made in any way – rather, that SeaFair received bills from MSC that were outstanding. The bills presented as evidence were dated approximately between August 2021 to February 2022, and a sophisticated destination agent such as SeaFair would absolutely know or have reason to know whether or not those bills had in fact been paid when the claims surrounding these payments were the central tenet of its Complaint in an FMC proceeding.

SeaFair knew or should have known that its claims regarding damages were blatantly false and patently devoid of a factual basis, including when it made those assertions in its October 2022 surety bond claim against Sterling under FMC regulations at 46 C.F.R. § 515.23(b) and in its Complaint against the Respondents in December 2022. At best, SeaFair egregiously failed to substantiate the factual elements of its allegations in the Complaint – which alone can clearly be seen as objectively unreasonable and frivolous. In the Commission's decision to grant a fee award in *Edaf*, the Complainant failed to substantiate the legal and factual components of its case, and forced multiple Respondents to expend significant resources of time and money in their defense. SeaFair's actions appear to go well beyond a failure to substantiate the factual elements of its case

– SeaFair never explained in any filing or briefing *why* the crux of its allegations on purported damages that formed the basis for its Shipping Act violation claims was completely mischaracterized from the initiation of this proceeding.

SeaFair’s manifest disregard for substantiating the facts that formed the basis of its alleged Shipping Act claims and haphazard attempts to amend its Complaint through the FMC briefing process to correct previously asserted falsehoods (after the Presiding Officer denied its Motion for Leave to Amend the Complaint) was objectively unreasonable, and weighs in favor of a grant of attorney fees to the Respondents.

ii. SeaFair’s Complaint and Briefing Filings Were Patently Devoid of Legal and Factual Bases to Support Allegations of Shipping Act Violations, and were Improperly Motivated

SeaFair’s initiation of this proceeding can be readily characterized as a fishing expedition seeking relief outside of the purview of the FMC’s jurisdiction, in requesting that the Presiding Officer resolve a dubious breach of contract claim and order the Respondents to pay SeaFair an unclear and unsubstantiated sum of money.

The Initial Decision highlighted that the “essence of the parties’ disagreement is that SeaFair believes its terms and conditions of service require Respondents to pay the outstanding MSC invoices since it has been unable to collect those destination charges from Respondents’ shippers.” (Initial Decision at p. 9). But as the Presiding Officer noted, the Commission simply does not have jurisdiction to resolve this type of dispute. (*Id.*). SeaFair improperly attempted to disguise its unconvincing breach of contract claims and misguided requests for indemnification under the cloak of the Shipping Act, without citing a single FMC case to support its arguments in its Opening Brief as to how the Respondents’ purported behavior could in any way constitute a violation of the Shipping Act (despite the Presiding Officer’s guidance in denying SeaFair’s

Motion to Amend the Complaint that “[t]he parties should cite Commission case law supporting their legal arguments.”). (Doc. No. 23 at p. 4).

a) 46 U.S.C. § 41102(a)

With respect to SeaFair’s claims that Respondents violated 46 U.S.C. § 41102(a), the Opening Brief simply restated the statute, and provided a three sentence characterization of the relationship between the Respondents and non-party MSC on certain bills of lading. The focus of the purported violative activity by the Respondents was “not settling the MSC charges” – the same “charges” that SeaFair had falsely stated it had already paid since August 2022. (Opening Brief at p. 16). SeaFair did not address the three required elements for proving such a claim, how those elements must be established, nor how either of the Respondents in any way could be shown to have engaged in violative behavior, and further did not even attempt to discuss how § 41102(a) claims have been interpreted in prior FMC cases that could result in any semblance of similarity to its own allegations. As the Initial Decision aptly stated with respect to the § 41102(a) claims, (i) there is no evidence that the Respondents “willfully” failed to pay charges “when those charges were initially billed to other parties and then presented for the first time in connection with a claim against Sterling’s surety;” (ii) “SeaFair does not allege that Respondents engaged in false billing, misclassification of cargo, or any other conduct specifically enumerated;” and (iii) “SeaFair has not presented any evidence of fraud or concealment on the part of Respondents....and there is no evidence Respondents were even aware of the unpaid charges until SeaFair filed a claim with Sterling’s surety.” (Initial Decision at p. 11).

At its core, these § 41102(a) claims were patently devoid of legal and factual bases, leading the Presiding Officer to determine that SeaFair failed to meet its burden of proof with respect to each element of its § 41102(a) claim. Again, while the fact that a claim was unsuccessful does not

necessarily mean it was objectively unreasonable or frivolous, an unsubstantiated claim with no rational legal basis, and which does not even attempt to frame why or how a violation occurred, should be deemed objectively unreasonable and frivolous.

b) 46 U.S.C. § 41104(a)

SeaFair similarly failed to substantiate, plead, or rely on any relevant legal authority for its § 41104(a)(2)(A) and § 41104(a)(4)(A) claims. Again, SeaFair's focus on Respondents' purportedly violative behavior was "not settling the MSC charges" and "not billing its customers" (*i.e.*, the customers whose obligation was SeaFair's to bill). (Opening Brief, at p. 18; *see also* Initial Decision Findings of Fact No. 7 at p. 5). And again, SeaFair's briefing simply restated the relevant statutes and provided a simple description of the relationship of the Respondents and non-party MSC (Opening Brief, at p. 16-19) – while failing to address the required elements for proving such claims, how those elements must be established, nor how any relevant FMC case law supported its allegations that either of the Respondents in any way could be shown to have engaged in violative behavior.

Accordingly, with respect to the § 41104(a)(2)(A) and § 41104(a)(4)(A) claims, the Presiding Officer correctly concluded that the Commission is not a proper venue for determining a claim for contractual indemnification or for common law indemnification, and further holding that SeaFair did not cite "any authority in support of its theory that a carrier's failure to successfully collect a charge made pursuant to a tariff or service contract results in a violation of § 41104(a)(2)(A)" and "presented no evidence that Respondents even had knowledge of the unpaid destination charges until SeaFair filed a claim with their surety." (Initial Decision at p. 14).

The Presiding Officer saw through SeaFair's legally deficient attempts to shoehorn its unsubstantiated breach of contract claims and request for indemnification under the guises of

Shipping Act violations under § 41104, and should similarly deem those claims as demonstrably devoid of legal and factual bases, weighing in favor of granting this Petition for attorney fees.

c) *46 U.S.C. § 41102(c)*

SeaFair's § 41102(c) claim suffered from the same deficiencies as its other Shipping Act claims in lacking any reasonable factual or legal bases, while also failing to address the key elements to establish a violation, FMC Interpretive Rules on how such elements are established, or any FMC case law that could potentially support its claim. SeaFair once again recited the statute, focused on Sterling's "refusal to compensate and indemnify SeaFair for services rendered," and attempted to cast a common law contract allegation and improper indemnification claim as a § 41102(c) violation. Once again, the Initial Decision rejected such attempts as legally insufficient, and the Presiding Officer should now further deem this claim as patently devoid of legal and factual bases and objectively unreasonable.

As the Presiding Officer explained, the indemnification provision SeaFair relied on to support its allegations was insufficient to support a finding that Respondents' purported refusal to indemnify was unjust, and that Respondents' refusal was not unreasonable – while further highlighting that as a matter of law, indemnity claims are unripe until the alleged indemnitee's liability has been fixed by a judgment or settlement. (*Id.* at p. 18). SeaFair's claim was further weakened by its admitted mischaracterization of its own alleged damages, prompting the Presiding Officer to highlight that despite SeaFair's claims in the Complaint that the destination charges at issue consisted of charges advanced by SeaFair on behalf of Respondent, they in fact were charges billed by non-party MSC and which had not been paid. (*Id.* at p. 19). SeaFair's pleadings and the findings in the Initial Decision lay a clear groundwork to deem this claim as devoid of any legal or factual bases.

d) *Improper Motivation and Entitlement to Fees*

SeaFair's motivations in in this case were questionable at best, particularly given the evolving presentation of key facts and legal theories regarding the Respondents' liability, and ultimately boiled down to unsupported breach of contract claims. In July 2023, the Presiding Officer instructed SeaFair to "carefully review" Commission caselaw regarding reparations, and requested that the parties address the Commission's requirements for reparations in their briefing. (Doc. No. 23, at p. 3). While this should have served as a clear roadmap for SeaFair to reconsider the validity of its claims, it continued this baseless proceeding while failing to ever substantively address Commission caselaw, including regarding proper relief and reparations in this forum. As the Initial Decision concludes, the parties' dispute arose out of an alleged breach of their agreement, and the evidence does not support any Shipping Act violations – and further, SeaFair's evidentiary presentation lacked merit and was entirely unclear. (*Id.* at p. 19).

SeaFair first requested that the Presiding Officer order Respondents to reimburse SeaFair for reparation payments it falsely stated had already been made to unnamed third parties (Doc. No. 1 at p. 3). In its Opening Brief, SeaFair essentially requested that the Presiding Officer relieve SeaFair from a central responsibility as the Respondents' destination agent – to collect demurrage and detention charges from third-party consignees – and instead force Respondents to cover the charges SeaFair failed to collect from those third parties (likely due to its inconsistent billing practices) by paying non-party MSC directly. SeaFair attached thousands of pages of billing invoices and related statements of account from non-party MSC, obfuscating what was already an unclear total of claimed "destination charges" for which it improperly sought indemnification from the Respondents, in the hope that the Presiding Officer would serve an accounting role in determining what SeaFair was purportedly entitled to as due and owing by the Respondents in

connection with its an unripe and unsupported indemnification claim. SeaFair did not have a good faith intent to protect a valid interest in pursuing these Shipping Act allegations, but rather sought to financially damage a former business partner as a last gasp attempt to relieve itself from its own failures to perform its destination agent obligations between 2021 and 2022.

While parties should absolutely be encouraged to litigate meritorious Shipping Act claims, and attorney fee liability should not be imposed in a way that would chill the filing of credible claims, SeaFair's § 41102(a), § 41104(a), and § 41102(c) claims were unsubstantiated, improperly motivated, unsupported by the law or FMC precedent, and often times were not even a true reflection of the facts leading up to the initiation of these proceedings. An award of attorney fees is warranted here to serve a vital deterrence function in furtherance of the purposes of the Shipping Act, and would not stand to have a chilling impact on future complainants, but rather remind them that Commission proceedings are to be taken seriously, and require adherence to the Presiding Officer's orders, FMC rules and precedent, and associated pleading standards.

iii. SeaFair's Conduct Greatly Increased Respondents' Costs, and the Commission Should Seek to Limit the Expense of Respondents and Compensate Respondents for its Efforts

SeaFair's conduct throughout this proceeding greatly increased Respondents' costs in defending against its unsubstantiated and unsupported Shipping Act claims. In discovery, Respondents were forced to respond to and defend a Motion to Compel, which was denied as moot because the Respondents had in fact already produced thousands of responsive documents requested and responded to all of the requests for admissions and interrogatories that were sought within SeaFair's motion. (Doc. No.20). Respondents were then forced to respond to and defend a Motion to Amend the Complaint, which as has been thoroughly discussed in this Petition, was sought in connection with SeaFair changing critical and blatant falsehoods asserted in its

Complaint six months after it was filed, and which were (or should have been) known to SeaFair at all times since the initiation of the proceeding. (Doc. No. 23, p. 2).

SeaFair's Opening Brief then introduced new evidence, arguments, and theories, as well as voluminous billing records as appendices that were not described with any level of specificity or detail in the briefing itself as to how such documents reflected accurate totals or substantiated damages being requested from the Respondents. SeaFair's Reply Brief subsequently improperly introduced additional evidence and arguments, prompting the Respondents to file a Motion for Leave to File Sur-Reply, which was granted, and a Sur-Reply filing.

Among SeaFair's new evidence was an appendix of 1,758 pages of email documentation that it cited merely twice in the Reply Brief for the proposition that it used "reasonable efforts" to collect destination charges from liable third-party consignees owed to non-party MSC, pursuant to SeaFair's terms and conditions and its obligation to Respondents and MSC as their destination agent. (*See, e.g.*, Doc. 28 and Doc. 28 Appendix 2; Doc. 35 at p. 6-10). Unlike SeaFair, Respondents viewed it as their responsibility to carefully review all appendices and exhibits utilized in connection with this proceeding, and did not have the luxury of simply citing 1,758 pages of correspondence for a blanket one-sentence proposition. Instead, Respondents carefully addressed key examples within SeaFair's own appendices which underscored the weaknesses in SeaFair's arguments and supported Respondents' characterizations of SeaFair's business practices.

Respondents' should be compensated for the extensive resources, time, and effort put into defending against SeaFair's objectively unreasonable and frivolous claims. SeaFair simply failed to terminate its improper claims when it could have limited the expense of the Respondents (and itself). SeaFair's request for contractual indemnification was not a proper issue within the

Commission's purview and jurisdiction, and its consistent inaccurate portrayals of the facts and circumstances leading up to this proceeding, meritless arguments, and improper motives in using the FMC forum to adjudicate a breach of contract case under the guise of poorly pled Shipping Act claims should not only result in the denial of its Complaint, but in the awarding of attorney fees to the Respondents as warranted and proper compensation.

C. Counsel of Record and Reasonableness of Fee Request

In support of this Petition, Respondents submit the Declaration of Ashley K. Kelley (the "Declaration"), together with related exhibits detailing the invoices, billing statements, and hourly rates charged by the billing timekeepers associated with this proceeding. As described in further detail in the Declaration, the attorney fees requested in this case are reasonable, and the hourly rates billed to Respondents at a 20% discount from each attorney timekeeper's standard billing rate are well within the recognized guidelines used by federal courts to determine reasonableness, including the Laffey Matrix¹ and the Fitzpatrick Matrix².

The attorneys who performed the large majority of the work on this case were Ashley Kelley and Julius Bodie, with additional support provided by David Collins and Harriet O'Malley. In 2023, Ashley Kelley was 15 years out of law school and charged a rate of \$452.00 - \$484.00 per hour, reflecting a 20% discount from her standard billing rate for that time period of \$565.00 - \$605.00 per hour (compared to the Fitzpatrick Matrix rate of \$687.00 in 2023 and Laffey Matrix rates of \$829.00 - \$878.00). In 2023, David Collins was 38 years out of law school and charged a rate of \$528.00 - \$580.00 per hour, reflecting a 20% discount from his standard billing rate for that

¹ The Updated Laffey Matrix has been relied upon by the Commission and courts to determine reasonable attorney fees. *Edaf Antillas, Inc.*, Docket No. 14-04, Order Granting Petition for Attorney Fees at p. 15 (FMC Sep. 14, 2016), <http://www.laffeymatrix.com/see.html>.

² The fees set out in the Fitzpatrick Matrix offer the more appropriate measure of the prevailing market rates for complex federal litigation in the District of Columbia. *J.T. v. D.C.*, 652 F. Supp. 3d 11, 36 (D.D.C. 2023), <https://www.justice.gov/usao-dc/media/1353286/dl?inline>.

time period of \$660.00 - \$725.00 per hour (compared to the Fitzpatrick Matrix rate of \$807.00 in 2023 and Laffey Matrix rates of \$997.00 - \$1,057.00 for the time period). Julius Bodie was 6 years out of law school and charged a rate of \$336.00 - \$380.00 per hour, reflecting a 20% discount from his standard billing rate for that time period of \$420.00 - \$475.00 per hour (compared to the Fitzpatrick Matrix rate of \$568.00 in 2023 and Laffey Matrix rates of \$508.00 - \$538.00 for the time period). Harriet O'Malley was 4 years out of law school and charged a rate of \$316.00 per hour, reflecting a 20% discount from her standard billing rate for that time period of \$395.00 per hour (compared to the Fitzpatrick Matrix rate of \$536.00 per hour and Laffey Matrix rates of \$508.00 - \$538.00 for the time period).

The Declaration also identifies the specific costs associated with the various phases of this proceeding, which as noted elsewhere herein, were in part driven by the litigation conduct of SeaFair.

- The total hours billed and fees spent for the initial phase of the proceeding (between December 1, 2022 with the Respondents receipt of the Verified Complaint and February 2, 2023) were 66.9 hours between three attorney timekeepers, totaling **\$25,006.40** (Declaration at ¶ 15), which included: (i) assessing the Complaint and preparing related response strategy; (ii) conferring with the Respondents' legal and corporate leadership regarding the Complaint, and conducting related diligence to determine the legitimacy of SeaFair's allegations; (iii) conferring with personnel responsible for Respondents' insurance bond; (iv) drafting, finalizing, and filing Respondents' Answers to the Complaint; (vi) preparing Initial Disclosures; (vii) preparing potential counterclaims and discussing claim and defense strategy with Respondents; and (viii) coordinating with

Respondents and its related international affiliate entities to prepare documentation sufficient to analyze and defend against SeaFair's claims.

- The total hours billed and fees spent for the second phase of the proceeding (between February 6, 2023 and July 26, 2023), which included an extensive discovery process, responding to a Motion to Compel, and responding to SeaFair's attempt to amend its complaint after the close of discovery, were 239.8 hours between four attorney timekeepers, totaling **\$86,875.60** (Declaration at ¶ 17). This included (i) reviewing and responding to multiple rounds of extensive discovery requests from SeaFair; (ii) issuing discovery requests to SeaFair; (iii) conferring with Respondents and multiple international affiliate entities on discovery strategy and identifying and producing thousands of responsive documents from several international jurisdictions; (iv) engaging in mediation discussions with counsel for SeaFair; (v) reviewing and assessing Complainant's responses to Respondents' discovery requests; (vi) reviewing, assessing, and responding to SeaFair's Motion to Compel, which was denied as Moot (Doc. No 20); (vii) reviewing, assessing, and responding to SeaFair's Motion for Leave to Amend the Complaint, which was denied due to the clear undue delay that would be caused by the request (Doc. No. 23); and (viii) preparing for Respondents' Response briefing based on review and analysis of SeaFair's discovery production.
- The total hours billed and fees spent for the final briefing stage of the proceeding (between July 28, 2023 and October 21, 2023) were 164.5 hours between three attorney timekeepers, totaling **\$59,349.20** (Declaration at ¶ 21). This included reviewing and assessing all of SeaFair's briefing filings, preparing and drafting of Respondents' Opposition Brief, and

preparing and drafting a necessary Sur-Reply based on the introduction of new evidence and arguments in SeaFair's briefing materials.

All of the attorney fees and billable rates described herein and in the Declaration were reasonable in light of SeaFair's allegations, litigation conduct, and diligence required in preparing the Respondents' defense. Accordingly, Respondents seek an award of **\$171,231.20** in legal fees (comprising 471.2 hours between four timekeepers between December 1, 2022 and October 21, 2023) as the prevailing party in this proceeding.

III. Conclusion

Respondents have demonstrated that they meet all relevant criteria under FMC Guidelines for an award of attorney's fees, and that such fee request is reasonable.

The stated purpose of the Shipping Act of 1984 is to "provide an efficient and economic transportation system in the ocean commerce of the United States," and one means to achieve that purpose is through the Commission's many processes for resolving disputes between parties. (*Edaf*, 2016 WL 5110081 at *13). It is imperative to that purpose that parties are able to raise meritorious claims and seek resolution of disputes. But with those principles in mind, the Commission must also seek to deter frivolous, objectively unreasonable claims that make admittedly false, unsubstantiated allegations, and claims that improperly seek to take advantage of the Commission forum to espouse meritless arguments which are patently devoid of legal and factual bases. Such claims and proceedings, including the instant proceeding, warrant compensation for the prevailing parties – and will not serve to chill future complainants from raising meritorious claims, but rather function as an effectuation of the FMC Guidelines in emphasizing appropriate litigant behavior before the Commission.

Respondents therefore respectfully request that the Presiding Officer grant this Petition and find that Respondents are eligible and entitled to attorney's fees from SeaFair in the amount of **\$171,231.20**. Respondents further request that in the event this Petition is granted, SeaFair also be ordered to pay the legal fees incurred in preparing this Petition.

Respectfully Submitted,

/s/ Ashley K. Kelley

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 14th day of June, 2024, the foregoing Respondents' Petition for Attorney Fees was served via electronic mail on:

Federal Maritime Commission
The Honorable Alex M. Chintella
Administrative Law Judge
judges@fmc.gov

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